Transportation

Why electric vehicle sales are in free fall in the Bay Area, and unlikely to turn around in 2026

The Audi Oakland car dealership has seen sales of electric vehicles plummet after Congress passed a Trump-backed bill that let a tax credit expire.
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Story Highlights

- Electric vehicle sales plummeted after a $7,500 tax credit expired in October.
- Audi Oakland projects EV sales will drop from 60% to 10% in 2026.
- Buyers rushed to dealerships in September before the federal incentive ended.

End-of-year car sales are a holiday-season tradition as salespeople push to move vehicles, meet quotas and earn their commissions. But electric vehicles, once a hot seller, have been slow for Audi Oakland since October.

In the last week in September, Audi Oakland sold 15 electric vehicles, marking a strong sales month. Sales have done nothing but slide since then.

There's a reason why electric vehicles aren't moving as fast as they were. Until October, EV car buyers were eligible for up to $7,500 in tax credits. That went away under the One Big Beautiful Bill spending package Congress passed in July.

"Buyers are smart, and they knew the incentive was expiring," Audi Oakland General Manager Daniel Kossut said. "They rushed into the dealership to take advantage of it last minute."

The dealership sold more than 80 EVs in the months leading up to September. After the deadline, it was noticeably less busy. Kossut believes there's never going to be a car rebate as good as that tax credit.

An electric bet

Like many car manufacturers, Audi was betting on the EV market. Before news broke that the tax credit was going away, Audi was counting on EVs to make up 60% of sales, Kossut said. Going into 2026, he projects that will plummet to 10% of his dealership's sales.

Globally, electric vehicle sales soared in recent years, jumping 25% between 2023 and 2024, according to the International Energy Agency, which reported that one in five cars sold in 2024 was electric. In the U.S., EV sales have climbed more gradually, spurred by Biden administration initiatives to have half of all new cars on the market be electric by 2030.

Losing the credit is a disappointment not only for car buyers but also for groups working to reduce the country's reliance on fossil fuels.

"It's frustrating because we were seeing some really good market growth. This is slowing it down," said Tim Lipman, co-director of the Transportation Sustainability Research Center at UC Berkeley.

Among the advantages of electric vehicles, Lipman said, is their vehicle-to-grid technology, which enables them to send energy back to the electrical grid. Utilities can tap that energy during peak periods, rather than purchasing more expensive natural gas. That, in effect, can keep utility bills from rising. For EV owners, savings can be more direct. They can sell stored energy back to the grid or use it to power their homes.

California feels the sting

The tax credit had been working to offset the higher sticker price electric vehicles carry because they cost more to manufacture. The Trump administration pushed to remove the credit as part of its reversal of numerous green-energy initiatives launched by previous administrations. Its impact may be most felt in California, home of the highest number of EV car owners.

Veer Arya and his new 2026 Honda CR-V. Arya, a 34-year-old software engineer from Union City, was hoping to become one of them. He was in the market for a new car this fall, after the window had closed on the EV tax credit. Instead, Arya bought a less expensive Honda CR-V hybrid, which he uses to commute to his job in San Francisco.

COURTESY VEER ARYA

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"People are choosing hybrids because the tax incentive is gone," he said.

Arya thinks the hybrid may have been a better investment.

"After five years, you can still sell the hybrid for more than $25,000. A Tesla won't sell well," he said.

Under the tax credit, buyers also were rewarded rebates for purchasing a used EV, which were eligible for up to $4,000. Rose Motorcars in Castro Valley started selling used EVs and plug-in hybrids around 2014. In September, sales went crazy – 61% above average, said Leo Beas, who owns the dealership.

"People were calling us around 7 p.m., closing time, and everyone was trying to get an EV at the last minute," he said.

The tariffs' effects

When the tariffs on imported cars began in April, those who feared they might drive up the cost opted to buy used cars, Beas noted.

"Car dealers raised prices, and they were just going up continuously because the demand never dropped," he added.

So far, nearly all major car brands have managed to keep prices from rising significantly, but car sales have declined since the spring. For now, carmakers are absorbing much of the tariffs, choosing to make less money per car in the hope of selling more inventory, said Brian Moody, editor and analyst at Kelley Blue Book.

To keep sticker prices steady, manufacturers do something called “decontenting,” removing some features, Moody said.

For example, “You're offering the same product with slightly less features, like maybe it used to have three-position heated seats and now it only has one.”

A Kelley Blue Book report showed the average transaction price for new cars exceeded the $50,000 mark for the first time in September, at $50,080. Electric cars were partly the reason for the 3.6% year-over-year increase. But the transaction price dropped below that milestone in October.

“We don't know if now is a good time to buy a car or not,” Moody said. “Here's the thing – I don't see how waiting gives you a big advantage.”

Michael Han is a student at the UC Berkeley School of Journalism. This story is part of “The Stakes,” a UC Berkeley Journalism project on executive orders and actions affecting Californians and their communities.